

SOP: Contract Approval Process

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Purpose

Standardizes the steps required to review and approve a new supplier contract before execution.

Procedure

Step 1 — Intake

Contract owner submits the drafted contract along with supplier details and estimated total contract value.

Step 2 — Policy Compliance Check

Contract is checked against: - Procurement Policy (POL-PROC-001) for approval thresholds and mandatory clauses - Information Security Policy (POL-SEC-002) for data privacy clause requirements

Any missing mandatory clause must be logged as a **Fail** finding, not a warning, since it blocks approval.

Step 3 — Legal Review (if applicable)

Required whenever: - Contract value exceeds \$250,000, OR - Contract involves data sharing with a third party, OR - Contract includes non-standard termination or liability terms

Legal review omission for contracts requiring it is itself a critical compliance failure and must be logged, even if all other clauses are present.

Step 4 — Approval Routing

Contract routed to the approver defined by the Procurement Policy threshold table based on total contract value.

Step 5 — Execution

Once approved, contract is signed and stored, and becomes the governing document for all downstream validations (invoices, amendments).

Common Failure Points (for reviewer reference)

- Missing data privacy clause (most frequent finding)
- Contract routed to wrong approval level for its value
- Legal review skipped for high-value contracts
- Payment schedule not clearly defined